

Subject: Summary of Regulatory Concerns Regarding Microsoft/Activision Merger

Overview:

The proposed acquisition of Activision Blizzard by Microsoft has drawn significant scrutiny from global regulatory bodies, primarily the UK's Competition and Markets Authority (CMA) and the US's Federal Trade Commission (FTC). The core concern revolves around the potential for Microsoft to harm competition in the nascent cloud gaming market.

Key Concerns:

Cloud Gaming Dominance: Regulators are concerned that by making Activision's blockbuster titles, such as 'Call of Duty', exclusive to its Xbox Cloud Gaming service, Microsoft could foreclose competitors and stifle innovation in the cloud gaming sector. Microsoft currently holds an estimated 60-70% of the global cloud gaming services market.

Console Market Competition: While a secondary concern, there is apprehension that owning the 'Call of Duty' franchise could give Microsoft an unfair advantage in the console market, potentially harming Sony's PlayStation platform.

Remedies and Divestitures: To appease regulators, Microsoft has offered remedies, including guaranteeing access to 'Call of Duty' on competing platforms like Sony PlayStation for a period of 10 years and offering licensing deals to other cloud gaming providers. The effectiveness of these remedies is still under debate by the authorities.